

SENATE/HOUSE FILE _____
BY (PROPOSED DEPARTMENT OF
INSURANCE AND FINANCIAL
SERVICES BILL)

A BILL FOR

1 An Act relating to preneed sellers, sales agents and sales
2 agent applicants, and government cemeteries.
3 BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF IOWA:

1 Section 1. Section 22.7, subsection 58, Code 2026, is
2 amended to read as follows:

3 58. Information filed with the commissioner of insurance
4 pursuant to sections 523A.204, 523A.205, 523A.206, 523A.207,
5 523A.401, ~~523A.502A,~~ and 523A.803.

6 Sec. 2. Section 523A.102, subsection 7, Code 2026, is
7 amended by striking the subsection.

8 Sec. 3. Section 523A.201, subsection 8, Code 2026, is
9 amended to read as follows:

10 8. Interest or income earned on amounts deposited in trust
11 shall remain in trust under the same terms and conditions
12 as payments made under the purchase agreement, except that
13 a seller may withdraw so much of the interest or income as
14 represents the difference between the amount needed to adjust
15 the trust funds for inflation ~~as set by the commissioner~~ based
16 on the most recently released consumer price index for all
17 urban consumers published by the United States department
18 of labor, bureau of labor statistics, and the interest or
19 income earned during the immediately preceding year not to
20 exceed fifty percent of the total interest or income on a
21 calendar-year basis. ~~The early~~ Early withdrawal of interest or
22 income under this ~~provision does~~ subsection shall not affect
23 the purchaser's right to a credit of such interest or income in
24 the event of a nonguaranteed price agreement, cancellation, or
25 nonperformance by ~~such a~~ the seller.

26 Sec. 4. Section 523A.206, subsection 1, Code 2026, is
27 amended to read as follows:

28 1. The commissioner may conduct an examination under
29 this chapter of any seller as often as the commissioner
30 deems appropriate. ~~If a seller has a trust arrangement, the~~
31 ~~commissioner shall conduct an examination of such seller doing~~
32 ~~business in this state not less than once every five years~~
33 ~~unless the seller has provided to the commissioner, on an~~
34 ~~annual basis, a certified copy of an audit conducted by an~~
35 ~~independent certified public accountant verifying compliance~~

1 ~~with this chapter.~~ The commissioner may require a seller
2 to provide a certified copy of an audit of a the seller,~~or~~
3 ~~other person conducted by a an independent~~ certified public
4 accountant to verify compliance with ~~the requirements of this~~
5 chapter, including rules adopted and orders issued pursuant to
6 this chapter.

7 Sec. 5. Section 523A.502, subsection 1, Code 2026, is
8 amended to read as follows:

9 1. a. A person shall not advertise, sell, promote, or offer
10 to furnish cemetery merchandise, funeral merchandise, funeral
11 services, or a combination thereof when performance or delivery
12 may be more than one hundred twenty days following initial
13 payment on the account unless the person has a sales license
14 and is a sales agent of a person holding a preneed seller's
15 license. ~~The~~

16 b. A preneed seller licensee is liable for the acts of ~~its~~
17 the licensee's sales agents performed in advertising, selling,
18 promoting, or offering to furnish, upon the future death of
19 a person named or implied in a purchase agreement, cemetery
20 merchandise, funeral merchandise, funeral services, or a
21 combination thereof.

22 c. (1) Prior to being issued a sales license, an applicant
23 for a sales license shall be designated by at least one preneed
24 seller to sell, negotiate, or solicit purchase agreements
25 on behalf of the preneed seller. At the time an individual
26 submits an application for a sales license, the preneed
27 seller shall file, in a format approved by the commissioner,
28 documentation of the designation of the applicant to sell,
29 negotiate, or solicit purchase agreements on behalf of the
30 preneed seller.

31 (2) A sales license shall not be issued to a sales
32 license applicant until the applicant has met all licensure
33 requirements of this chapter.

34 (3) The preneed seller shall disclose to the commissioner
35 any changes made to the designation for a sales agent to sell,

1 negotiate, or solicit preneed contracts on the preneed seller's
2 behalf within thirty calendar days of the date of the change
3 in designation.

4 d. The license of a sales agent shall not be effective
5 during any time period during which the sales agent is not
6 employed by or associated with a preneed seller licensed under
7 this chapter.

8 Sec. 6. Section 523A.502, subsection 5, Code 2026, is
9 amended to read as follows:

10 5. A sales license shall expire annually on April 30. If
11 a sales agent has ~~filed an annual report pursuant to section~~
12 ~~523A.502A, subsection 1, and has fulfilled the continuing~~
13 ~~education requirements pursuant to subsection 6 and has paid~~
14 ~~the required renewal fee,~~ the commissioner shall renew the
15 sales agent's sales license ~~until April 30 of the following~~
16 ~~year.~~

17 Sec. 7. Section 523A.601, subsection 1, paragraph i, Code
18 2026, is amended to read as follows:

19 i. Include an explanation of regulatory oversight by
20 the insurance division in twelve point boldface type, in
21 substantially the following language:

22 This agreement is subject to rules administered by the Iowa
23 insurance division. You may ~~call~~ contact the Iowa insurance
24 division with inquiries or complaints at ~~(telephone number).~~
25 ~~Written inquiries or complaints should be mailed to the Iowa~~
26 ~~securities and regulated industries bureau, (street address),~~
27 ~~(city), Iowa (zip code)~~ iid.iowa.gov.

28 Sec. 8. Section 523A.602, subsection 2, paragraph b,
29 subparagraph (1), Code 2026, is amended to read as follows:

30 (1) If a purchase agreement is canceled, a purchaser
31 requests a transfer of the trust assets upon cancellation of a
32 purchase agreement, or another seller provides merchandise or
33 services designated in a purchase agreement, the seller shall
34 refund or transfer within thirty days of receiving a written
35 demand no less than the purchase price of the applicable

1 cemetery merchandise, funeral merchandise, and funeral services
2 adjusted for inflation, using the most recently released
3 ~~consumer price index amounts announced by the commissioner~~
4 annually for all urban consumers published by the United
5 States department of labor, bureau of labor statistics, less
6 any actual expenses incurred by the seller pursuant to the
7 purchase agreement as set forth in the purchase agreement under
8 section 523A.601, subsection 1, paragraph "f". The amount of
9 the actual expenses deducted by the seller shall not exceed
10 ten percent of the purchase price of the applicable cemetery
11 merchandise, funeral merchandise, and funeral services. The
12 seller may also deduct the value of the cemetery merchandise,
13 funeral merchandise, and funeral services already received by,
14 delivered to, or warehoused for the purchaser.

15 Sec. 9. Section 523A.602, subsection 2, paragraph c, Code
16 2026, is amended to read as follows:

17 c. A purchase agreement must include a statement that the
18 purchaser is entitled to a refund of the purchase price of
19 the applicable funeral merchandise adjusted for inflation,
20 using the most recently released consumer price index ~~amounts~~
21 ~~announced by the commissioner annually for all urban consumers~~
22 published by the United States department of labor, bureau
23 of labor statistics, for any item of funeral merchandise
24 that cannot be delivered to the location specified in the
25 purchase agreement within forty-eight hours of notice of the
26 individual's death, unless the delay is caused by weather
27 conditions or a natural disaster. The seller must return such
28 refund to the purchaser within thirty days of receiving the
29 written demand.

30 Sec. 10. Section 523A.807, subsection 3, unnumbered
31 paragraph 1, Code 2026, is amended to read as follows:

32 If the commissioner finds that a person has violated
33 section 523A.201, 523A.202, 523A.203, 523A.204, 523A.207,
34 523A.401, 523A.402, 523A.403, 523A.404, 523A.405, 523A.501,
35 523A.502, ~~523A.502A~~, 523A.505, or 523A.605, or any rule adopted

1 pursuant thereto, the commissioner may order any or all of the
2 following:

3 Sec. 11. Section 523I.102, subsections 9, 16, and 45, Code
4 2026, are amended by striking the subsections.

5 Sec. 12. Section 523I.102, Code 2026, is amended by adding
6 the following new subsections:

7 NEW SUBSECTION. 13A. "*Government cemetery*" means a cemetery
8 that is owned, operated, or controlled by a governmental
9 subdivision.

10 NEW SUBSECTION. 13B. "*Governmental subdivision*" means a
11 city, county, or township.

12 Sec. 13. Section 523I.102, subsection 37, Code 2026, is
13 amended to read as follows:

14 37. a. "*Perpetual care cemetery*" includes all of the
15 following:

16 ~~a.~~ (1) Any cemetery that was organized or commenced
17 business in this state on or after July 1, 1995.

18 ~~b.~~ (2) Any cemetery that has established a care fund in
19 compliance with section 523I.810.

20 ~~c.~~ (3) Any cemetery that represents that it is a perpetual
21 care cemetery in its interment rights agreement.

22 ~~d.~~ (4) Any cemetery that represents in any other manner
23 that the cemetery provides perpetual, permanent, or guaranteed
24 care.

25 b. "*Perpetual care cemetery*" does not include a government
26 cemetery.

27 Sec. 14. Section 523I.213A, subsection 1, Code 2026, is
28 amended to read as follows:

29 1. The commissioner or the commissioner's designee may
30 conduct an examination under this chapter of any cemetery as
31 often as the commissioner deems appropriate. ~~If a cemetery~~
32 ~~has a trust arrangement, the commissioner shall conduct an~~
33 ~~examination not less than once every five years.~~

34 Sec. 15. Section 523I.312, subsection 2, paragraph n, Code
35 2026, is amended to read as follows:

1 *n.* Include an explanation of regulatory oversight by
2 the insurance division in twelve point boldface type, in
3 substantially the following language:

4 This agreement is subject to rules administered by the Iowa
5 insurance division. You may ~~call~~ contact the Iowa insurance
6 division with inquiries or complaints at ~~(insert telephone~~
7 ~~number)~~. ~~Written inquiries or complaints should be mailed~~
8 ~~to: Iowa Securities and Regulated Industries Bureau, (insert~~
9 ~~address)~~ iid.iowa.gov.

10 Sec. 16. Section 523I.501, Code 2026, is amended to read as
11 follows:

12 **523I.501 Cemetery authorized.**

13 The governing body of a governmental subdivision may
14 purchase, establish, operate, enclose, improve, or regulate
15 a cemetery. A government cemetery ~~owned or operated by a~~
16 ~~governmental subdivision~~ may sell interment rights subject to
17 ~~the provisions of this chapter.~~

18 Sec. 17. Section 523I.801, subsection 1, Code 2026, is
19 amended to read as follows:

20 1. All cemeteries are designated as either "perpetual care
21 cemeteries", ~~or~~ "nonperpetual care cemeteries", or "government
22 cemeteries" for the purposes of this chapter. A cemetery that
23 represents that it is offering perpetual care on or after July
24 1, 2005, is subject to this subchapter. This subchapter shall
25 not apply to government cemeteries.

26 Sec. 18. Section 523I.805, subsection 1, Code 2026, is
27 amended to read as follows:

28 1. ~~A cemetery owned or operated by a political subdivision~~
29 ~~of this state is not required to make a minimum initial deposit~~
30 ~~in a care fund. Any other~~ cemetery commencing business in this
31 state on or after July 1, 2005, shall not sell interment spaces
32 unless the cemetery has a care fund of at least twenty-five
33 thousand dollars in cash.

34 Sec. 19. Section 523I.810, subsection 1, paragraph f,
35 unnumbered paragraph 1, Code 2026, is amended to read as

1 follows:

2 If the amount of a care fund exceeds two hundred thousand
3 dollars, the cemetery or any officer, director, agent,
4 employee, or affiliate of the cemetery shall not serve as
5 trustee ~~unless the cemetery is a cemetery owned or operated~~
6 ~~by a governmental subdivision of this state.~~ A financial
7 institution holding care funds shall not do any of the
8 following:

9 Sec. 20. REPEAL. Sections 523A.502A and 523I.401, Code
10 2026, are repealed.

11 EXPLANATION

12 The inclusion of this explanation does not constitute agreement with
13 the explanation's substance by the members of the general assembly.

14 This bill relates to preneed sellers, sales agents and sales
15 agent applicants, and government cemeteries.

16 The bill amends Code sections 523A.201(8) (establishment
17 of trust funds), 523A.602(2)(b)(1) (consumer rescission,
18 cancellation, and refund rights — purchase agreement
19 compliance with other laws), and 523A.602(2)(c) to calculate
20 the rate of inflation by relying on the most recently released
21 consumer price index for all urban consumers published by the
22 United States department of labor, bureau of labor statistics,
23 rather than relying on the inflation as set by the commissioner
24 of insurance (commissioner) based on the consumer price index
25 under current law.

26 The bill eliminates the requirement under current law that
27 if a preneed seller has a trust agreement, the commissioner
28 shall conduct an examination of the preneed seller at least
29 once every five years unless the preneed seller has annually
30 provided to the commissioner a certified copy of an audit
31 conducted by an independent certified public accountant. Under
32 the bill, the commissioner may require a preneed seller to
33 provide a certified copy of an audit of the preneed seller
34 conducted by an independent certified public accountant to
35 verify compliance.

1 Under the bill, prior to being issued a sales license, an
2 applicant for a sales license must be designated by a preneed
3 seller to sell, negotiate, or solicit purchase agreements
4 on behalf of the preneed seller. At the time the applicant
5 submits their application for a sales license, the preneed
6 seller shall file documentation of the designation for the
7 applicant to sell, negotiate, or solicit purchase agreements
8 on behalf of the preneed seller. A license as a sales agent
9 shall not be issued to an applicant unless they have met all
10 licensure requirements and the insurance division (division)
11 has received a designation by a preneed seller. A preneed
12 seller must disclose to the commissioner changes made to the
13 designation of a sales agent authorized to conduct business on
14 the preneed seller's behalf within 30 days of a designation
15 change. A sales agent license shall not be effective during
16 a time period in which the sales agent is not employed by or
17 associated with a preneed seller.

18 Under the bill, for a sales agent to renew their license, the
19 sales agent must pay a renewal fee. Payment of a renewal fee is
20 not required under current law.

21 The bill amends Code sections 523A.601(1)(i) (disclosures)
22 and 523I.312(2)(n) (disclosure requirements — interment
23 agreements) to clarify the manner in which to contact the
24 division by directing inquiries and complaints to the
25 division's internet site, rather than by telephone or mail
26 under current law.

27 The bill eliminates the requirement that the commissioner
28 or the commissioner's designee conduct an examination no less
29 than once every five years of any cemetery that has a trust
30 arrangement.

31 Under the bill, all cemeteries under Code chapter 523I (Iowa
32 cemetery Act) are designated as perpetual care cemeteries,
33 nonperpetual care cemeteries, or government cemeteries.
34 "Government cemetery" is defined in the bill. Under the bill,
35 Code chapter 523I, subchapter VIII (perpetual care cemeteries

1 — requirements), shall not apply to government cemeteries.

2 Under current law, a cemetery owned or operated by a
3 political subdivision is not required to make a minimum initial
4 deposit in a care fund, and may serve as a trustee. The bill
5 eliminates these exceptions.

6 The bill repeals Code sections 523A.502A (sales agent annual
7 reporting requirements) and 523I.401 (neglected cemeteries),
8 and makes conforming changes to Code sections 22.7(58) and
9 523A.807(3).